



January 18, 2024

Representative Amy Walen
Chair, Washington Consumer Protection &
Business Committee
437B Legislative Building
PO Box 40600
Olympia, WA 98504

Representative Eric Robertson
Ranking Minority Member, Washington
Consumer Protection & Business Committee
465 John L. O'Brien Building
PO Box 40600
Olympia, WA 98504

Representative Kristine Reeves
Vice Chair, Washington Consumer
Protection & Business Committee
132E Legislative Building
PO Box 40600
Olympia, WA 98504

Representative Beth Doglio
318 John L. O'Brien Building
PO Box 40600
Olympia, WA 98504

Representative Steve Tharinger
315 John L. O'Brien Building
PO Box 40600
Olympia, WA 98504

Representative Gerry Pollet
438A Legislative Building
PO Box 40600
Olympia, WA 98504

RE: Washington HB 2149 – Oppose

Dear Chair Walen, Ranking Minority Member Robertson, Vice Chair Reeves, Representative Doglio, Representative Tharinger, and Representative Pollet:

On behalf of the advertising industry, we oppose Washington HB 2149.¹ We offer this letter to express our non-exhaustive list of concerns about this overly restrictive legislation. As presently drafted, HB 2149 would impose onerous and unnecessary opt-in consent requirements for routine transfers of transactional data businesses collect from consumers at the point of sale. The proposed restrictions are not only out of step with privacy laws passed in every other state to date, but would also have far-reaching, unfavorable consequences for Washington businesses and consumers alike.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

¹ Washington HB 2149 (Gen. Sess. 2024), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

We would welcome the opportunity to engage with you and the Washington House Committee on Consumer Protection and Business (“Committee”) further on HB 2149.

I. HB 2149’s consent requirements would inundate Washington residents with consent requests and unnecessarily limit consumer benefits resulting from basic data processing activities.

The bill would require businesses to obtain “express permission” from a consumer before selling or sharing personal data collected at a point of sale. Such an approach is likely to result in significant notice fatigue for Washington consumers who would now face an influx of burdensome consent screens and other requests when trying to purchase a product or service. Furthermore, it is not clear how businesses would reasonably seek consumer consent under the proposed opt-in regime.

Burdensome and unclear opt-in requirements would also curtail businesses’ ability to offer consumers the substantial benefits associated with transfers of personal data that Washingtonians enjoy today. As discussed in more detail in Section IV below, the data-driven and ad-supported online ecosystem benefits consumers and drives economic growth and competition. A blanket opt-in requirement for transfers of the very data businesses collect from their own customers risks sharply curtailing routine, responsible data uses that help provide tailored and relevant messaging to consumers. Moreover, opt-in requirements tend to advantage large, entrenched market players at the expense of small businesses and start-up companies particularly because the proposed unreasonable restriction will hinder small business’s access to such data in the market that they need to grow their business. Such an approach would unintentionally impede market competition while simultaneously inundating consumers with burdensome consent screens as they navigate the purchase process.

II. Washington should harmonize HB 2149 with the privacy approach taken in other states.

Harmonized privacy law standards benefit consumers and businesses by helping to ensure consumers are subject to similar privacy protections no matter where they reside and that businesses may take a more holistic approach to privacy compliance. Yet HB 2149’s opt-in approach wildly diverges from existing privacy laws and would cause significant confusion for businesses and consumers. In the absence of a preemptive federal data privacy law, it is crucial for legislators to seriously consider the heavy costs imposed on both businesses and consumers by a patchwork of state privacy standards. Every other state that has passed comprehensive privacy legislation has adopted an opt-out regime for the sale or sharing of personal data.

Moreover, Washington enacted the My Health My Data Act to provide heightened protections for sensitive consumer health data. This bill proposes similar opt-in consent requirements for all data types regardless of the perceived sensitivity of the data. Washington should not proceed with a blanket opt-in approach that differs starkly from and competes with existing state privacy laws when these existing approaches already protect consumers and offer consistency across states.

III. HB 2149 imposes unconstitutional restraints on businesses’ lawful commercial speech.

Courts have repeatedly affirmed First Amendment protections for commercial speech, including advertising, by making clear that consumers, businesses, and society overall have a strong

interest in the free flow of information.³ Yet HB 2149 impinges on the First Amendment rights of businesses by substantially restricting their ability to communicate their lawful messages to their intended audiences. The legislature should not advance legislation that flouts established First Amendment precedent by preventing businesses from reaching Washington consumers with their constitutionally protected messages.

IV. Data-driven advertising provides significant benefits to Washington residents, the economy, and consumers alike.

Over the past several decades, data-driven advertising has established a platform for innovation and immense growth opportunities. One recent study found that the Internet economy's contribution to the United States' gross domestic product ("GDP") grew 22 percent per year since 2016, surpassing a national economy that grows between two to three percent per year.⁴ In 2020 alone, online advertising activity contributed \$3.9 trillion to the \$20.9 trillion total U.S. gross domestic product ("GDP").⁵ In addition, more than 28 million jobs and \$2.1 trillion in salaries and wages were generated by the commercial Internet in 2020.⁶ More of those Internet jobs – 38 percent – were created by small firms and self-employed individuals than by the largest Internet companies, which accounted for 34 percent.⁷ The ad-supported Internet contributed to 229,703 full-time jobs across Washington alone.⁸

A. Advertising drives economic growth.

Data-driven advertising bolsters a competitive online marketplace and fuels tremendous economic growth. Overly restrictive legal requirements that hamper responsible and routine data practices could yield billions of dollars in economic losses across multiple sectors.⁹ A recent study determined that "[t]he U.S. open web's independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025" if third-party tracking were to end "without mitigation."¹⁰ According to the same study, lost revenue would be absorbed by entrenched market players, consolidating power and revenue in a small group of powerful businesses.¹¹ Digital advertising provides small advertisers with new opportunities for lower cost outreach to potential customers.¹² Without such cost-effective avenues for smaller advertisers to reach audiences, businesses focused on online strategies would lose out on critical outreach opportunities and be disproportionately burdened by overly broad regulations. Data-driven advertising thus enables small businesses and start-up companies to compete with the world's largest enterprises, which stratifies economic power and supports a more vibrant consumer economy.

³ See, e.g., *Va. Pharmacy Bd. v. Va. Consumer Council*, 425 U.S. 748, 756-57 (1976); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

⁴ *Id.* at 5.

⁵ IHS Markit, *The economic impact of advertising on the US economy 2018 – 2026*, 12 (Nov. 2021), located [here](#).

⁶ *Id.* at 5, 13.

⁷ Deighton and Kornfeld, *supra* note 2, at 6.

⁸ *Id.* at 135-36.

⁹ See John Deighton, *The Socioeconomic Impact of Internet Tracking*, 4 (Feb. 2020), located [here](#).

¹⁰ *Id.* at 34.

¹¹ *Id.* at 15-16.

¹² See *id.* at 8.

B. Advertising underpins Washingtonians’ access to diverse online services and content.

Data-driven advertising benefits consumers by subsidizing the vast and varied free and low-cost content available on today’s Internet. Advertising revenue is a critical funding source for digital publishers and helps support the development of new and innovative content that publishers provide and consumers value and expect.¹³ One study found that the free and low-cost goods and services available to consumers via the ad-supported Internet provides \$30,000 in value per consumer each year, measured in 2017 dollars.¹⁴ Legislative proposals that restrict digital advertising cripple businesses’ ability to offer free or low-cost content and would lead to online offerings gated behind paywalls, creating a new barrier for consumers with less expendable income to reach the full scope of offerings available on today’s internet. Such a model unintentionally threatens to disrupt the egalitarian nature of the Internet by creating a two-tiered system in which crucial access to online resources would be limited to consumers with the ability to pay for them. Consumers who face reduced access to content are ultimately harmed by overly burdensome use restrictions.

C. Consumers prefer personalized ads and ad-supported digital media and content.

Research demonstrates that consumers across income levels and geography embrace the ad-supported Internet and are not reluctant to participate online due to data-driven advertising practices. One study found more than half of consumers (53 percent) value relevant ads, and a significant majority (86 percent) desire tailored discounts for online products and services.¹⁵ Another survey showed 90 percent of consumers find free content important to the overall value of the Internet and 85 percent surveys prefer the existing ad-supported model over a non-ad supported Internet where consumers would need to pay for most content.¹⁶ In recent comments to the National Telecommunications and Information Administration, the Federal Trade Commission noted that, under a subscription-based model, many consumers likely could not afford access to, or would be reluctant to use, the online products and services on which they rely today or that will become available in the future.¹⁷ Laws that unnecessarily restrict responsible data practices businesses have relied on for decades would upend the Internet ecosystem central to our daily lives.

* * *

We and our members strongly believe consumers deserve meaningful privacy protections supported by reasonable and responsible industry policies. However, we believe HB 2149 takes an overly restrictive approach to data use that will unnecessarily impede Washingtonians’ ability to access helpful services and information online. We therefore respectfully ask you to reconsider the bill and carefully consider any future legislation’s potential impact on advertising, the consumers who benefit from such advertising, and any potential lasting and damaging economic effects before advancing such legislation.

¹³ See John Deighton & Peter A. Johnson, *The Value of Data: Consequences for Insight, Innovation & Efficiency in the US Economy* (2015), located [here](#).

¹⁴ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (Nov. 2022), available [here](#).

¹⁵ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located [here](#).

¹⁶ Digital Advertising Alliance, *Zogby Analytics Public Opinion Survey on Value of the Ad-Supported Internet Summary Report* (May 2016), located [here](#).

¹⁷ Federal Trade Commission, *In re Developing the Administration’s Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located [here](#).

Thank you for your consideration of this request.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4A's
202-355-4564

Lartase Tiffith
Executive Vice President, Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322